

diversification. “Because when the other parts of the portfolio do very badly—because of certain things like stagflation or debt issues—then gold does very well,” he said.

There are several reasons Dalio is bullish on precious metals. Chief among these are rising debt levels across the world.

Amongst other reasons, Naveen Mathur, Director of Commodities and Currencies at Anand Rathi Share and Stock Brokers, believes some Asian countries purchased a lot of gold, propping up the yellow metal in 2025. Investors and central banks, too, piled on the yellow metal.

India’s official gold reserves are currently at historic highs in terms of volume and value. The Reserve Bank of India’s (RBI’s) holdings rose to over 880 tonnes by October, the highest ever in terms of tonnage. They stood at 876 tonnes in December 2024 and 677 tonnes in end-2020. Due to rise in prices, the value of gold reserves held by the RBI leapt past the \$100-billion mark for the first time this October.

Though the US dollar dominates reserves globally, amid rising geopolitical tensions and debt, central banks have steadily increased their gold holdings as a hedge against currency debasement and sanctions risk, says Alok Agarwal, Head of Quant & Fund Manager at Alchemy Capital Management. “For the RBI, a higher share of gold reduces concentration risk in US treasuries and Euro assets, while benefiting from a structural bid under gold as other central banks also accumulate the metal.”

One of the biggest tailwinds for gold, perhaps, is the move of the BRICS (Brazil, Russia, India, China, South Africa) bloc to reduce dependence on the US dollar in trade and reserves. Last year, they piloted a new BRICS+ currency

TOP 5 IMPORTS IN FY25

• With rise in gold and silver prices and depreciation of the rupee, more forex is being used up in their imports

	VALUE (IN \$ BILLION)	% OF TOTAL IMPORTS
Petroleum crude & products	185.72	25.8
Engineering goods	141.14	19.6
Electronic goods	102.60	14.2
Gold & silver	62.77	8.7
Ores and minerals	42.05	5.8

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and payment system known as the UNIT. This is backed by a fixed reserve basket that consists 40% of gold (by weight) and 60% of BRICS+ currencies. It will be delivered via a digital platform using transparent blockchain technology.

“The idea with the UNIT is to combine assets such as gold with a set of diversified currencies, reducing exposure to financial volatility and targeting of single currencies by speculators, while building trust between UNIT users,” says Mathur.

The UNIT will not be controlled by any single country or central bank, nor would it function as an everyday currency. It could reduce the bloc’s collective dependence on the US dollar and lower exchange rate costs by removing the need to convert local currencies to and



“It [silver’s rise] is unique because it is the only metal which has intrinsic value and functional demand. Prices will go up and down, but silver’s extraordinary shine is here to stay”

ANIL AGGARWAL
CHAIRMAN,
VEDANTA GROUP